Fiscal Impact Statement

Legislative Council Staff

Nonpartisan Services for Colorado's Legislature

PROPOSITION 136: INCOME TAX RATE LIMIT

Analyst: Elizabeth Ramey, elizabeth.ramey@coleg.gov, 303-866-3522

Date: September 10, 2026

Summary Information

Overview. The measure establishes the 4.40 percent income tax rate in current law as the maximum rate.

No fiscal impact. The bill has no fiscal impact on state or local government.

Disclaimer. This fiscal impact statement has been prepared for a statewide ballot measure appearing at the 2026 statewide election. Any appropriations required to implement this measure will be addressed through the annual or supplemental budget process if this measure is approved by voters. For more information about this measure, please see the ballot information booklet.

Table 1
State Fiscal Impacts

Type of Impact	Current Year FY 2026-27	Budget Year FY 2027-28
State Revenue	$0	$0
State Expenditures	$0	$0
Transferred Funds	$0	$0
Change in TABOR Refunds	$0	$0
Change in State FTE	0.0 FTE	0.0 FTE

Proposition 136

Summary of Measure

The measure establishes the 4.40 percent income tax rate in current law as the maximum rate starting in tax year 2027.

Assessment of No Fiscal Impact

The measure limits the state income tax rate to the current 4.40 percent rate. This results in no change to state or local government revenue or expenditures. For this reason, the measure is assessed as having no fiscal impact.

Effective Date

If approved by voters at the 2026 general election, this measure takes effect upon proclamation of the Governor, no later than 30 days after the official canvass of the vote is completed.

State and Local Government Contacts

Revenue